

ARCULUS PREFERRED INCOME FUND
ARSN 108 161 575

Financial Report
for the year ended
30 June 2026



**ARCULUS PREFERRED INCOME FUND
DIRECTORS' REPORT
FOR THE YEAR ENDED 30 JUNE 2026**

The directors of DDH Graham Limited, the responsible entity ("the Responsible Entity") of the Arculus Preferred Income Fund ("the Fund") present their report together with the financial report of the Fund, for the year ended 30 June 2026 and the auditor's report thereon.

The Fund became a registered scheme under the Corporations Act 2001 on 9 March 2004 and DDH Graham Limited was appointed the Responsible Entity on that date.

The Responsible Entity

The registered office and place of business of the Responsible Entity and the Fund is Level 2, 10 Eagle Street, Brisbane.

The directors of DDH Graham Limited at any time during or since the end of the financial year are:

- Ugo C Di Girolamo
- David D H Graham
- Douglas A H Graham
- Peter B Lockhart

Principal activities

The Fund is a registered managed investment scheme domiciled in Australia.

The investment activities of the Fund continued to be in accordance with the investment policy of the Fund as outlined in the current product disclosure statement, and investments in each class of asset were maintained within the stated asset allocation ranges. The key asset categories are Australian hybrid securities, Australian corporate debt, structured debt and collateralised debt obligations, and Australian cash and cash enhanced securities.

The Fund did not have any employees during the year.

There were no significant changes in the nature of the Fund's activities during the year.

Review and results of operations

During the year, the Fund continued to invest funds in accordance with the investment strategy as set out in the governing documents of the fund and in accordance with the provisions of the Fund Constitution.

The performance of the Fund, as represented by the results of its operations, was as follows

	2026	2025
	\$	\$
Profit / (loss) from operating activities	4,814,622	10,155,301
Distributions paid and payable	6,342,687	10,935,539
Distribution - cents per unit	4.08	5.57

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Interests in the Fund

The movement in units on issue in the Fund during the year is disclosed in Note 6 to the financial statements.

The value of the Fund assets and liabilities is disclosed on the statement of financial position and derived using the basis set up in Note 3 to the financial statements.

Significant changes in the state of affairs

In the opinion of the directors, there were no significant changes in the state of affairs of the Fund that occurred during the financial year under review not otherwise disclosed in this report.

Matters subsequent to the end of the financial year

No matter or circumstance has arisen since 30 June 2026 that has significantly affected, or may significantly affect:

- The operations of the Fund in future financial years, or
- The results of those operations in future financial years, or
- The state of affairs of the Fund in future financial years.

Likely developments and expected results of operations

The Fund will continue to be managed in accordance with the investment objectives and guidelines as set out in the governing documents of the Fund and in accordance with the provisions of the Fund's Constitution.

The results of the Fund's operations will be affected by a number of factors, including the performance of investment markets in which the Fund invests. Investment performance is not guaranteed, and future returns may differ from past returns. As investment conditions change over time, past returns should not be used to predict future returns.

Indemnification and insurance for officers and auditors

No insurance premiums are paid for out of the assets of the Fund in regard to insurance cover provided to either the officers of the Responsible Entity or the auditors of the Fund. So long as the officers of the Responsible Entity act in accordance with the Fund Constitution and the Law, the officers remain indemnified out of the assets of the Fund against losses incurred while acting on behalf of the Fund.

The Fund has not indemnified any auditor of the Fund.

Fees paid to and interests held in the Fund by the Responsible Entity or its associates

Fees paid to the Responsible Entity and its associates out of Fund property during the year are disclosed in Note 14 to the financial statements.

No fees were paid out of Fund property to the directors of the Responsible Entity during the year.

The number of interests in the Fund held by the Responsible Entity or its associates as at the end of the financial year are disclosed in Note 14 to the financial statements.

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Environmental regulation

The Fund's operations are not subject to any significant environmental regulations under either Commonwealth, State or Territory legislation.

Auditor's Independence Declaration

The auditor's independence declaration is set out on page 4 and forms part of this directors' report for the year ended 30 June 2026.

This report is made in accordance with a resolution of the directors of DDH Graham Limited.



**Ugo C Di Girolamo
Director
DDH Graham Limited
Responsible Entity
Brisbane**

30 September 2026

Auditor's Independence Declaration Under Section 307C of the *Corporations Act 2001* To the Directors of DDH Graham Limited as the Responsible Entity of the Arculus Preferred Income Fund

As lead engagement partner, I declare that, to the best of my knowledge and belief, during the year ended 30 June 2026, there have been:

- i. no contraventions of the auditor independence requirements as set out in the *Corporations Act 2001* in relation to the audit; and
- ii. no contraventions of any applicable code of professional conduct in relation to the audit.



Crowe Audit Australia



Wicus Wessels

Partner

30 September 2026

Brisbane

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The title 'Partner' conveys that the person is a senior member within their respective division and is among the group of persons who hold an equity interest (shareholder) in its parent entity, Findex Group Limited. The only professional service offering which is conducted by a partnership is external audit, conducted via the Crowe Australasia external audit division and Unison SMSF Audit. All other professional services offered by Findex Group Limited are conducted by a privately owned organisation and/or its subsidiaries.

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ARCULUS PREFERRED INCOME FUND
STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2026

	Notes	2026 \$	2025 \$
Investment Income			
Interest income	4	7,099,247	10,499,119
Net unrealised gain/(loss) on investment securities held at fair value through profit or loss		(2,163,408)	896,644
Net realised gains/(loss) on investment securities held at fair value through profit or loss		954,698	259,075
Sundry income		-	73
Total net investment income/(loss)		5,890,537	11,654,911
Expenses			
Management fees	14	881,969	1,214,856
Other operating expenses		128,292	168,643
Brokerage charges		65,654	116,111
Operating expenses		1,075,915	1,499,610
Profit / (Loss) from operating activities		4,814,622	10,155,301
Other comprehensive income		-	-
Total comprehensive income/(loss)		4,814,622	10,155,301

The above statement of Comprehensive Income should be read in conjunction with the accompanying notes.

ARCULUS PREFERRED INCOME FUND
STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2026

	Notes	2026 \$	2025 \$
Assets			
Cash and cash equivalents	8	4,478,864	6,246,110
Financial assets held at fair value through profit or loss	9	99,108,906	161,916,993
Receivables	10	2,439,307	1,424,918
Total assets		106,027,077	169,588,021
Liabilities			
Payables	11	5,009,911	17,480,429
Total liabilities		5,009,911	17,480,429
Net assets attributable to unitholders - equity	6	101,017,166	152,107,592

The above statement of Financial Position should be read in conjunction with the accompanying notes.

**ARCULUS PREFERRED INCOME FUND
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2026**

	Notes	2026 \$	2025 \$
Total equity at the beginning of the year		152,107,592	162,859,316
Comprehensive income for the year			
Profit /(loss) for the year		4,814,622	10,155,301
Total comprehensive income for the year		156,922,214	173,014,617
Transactions with unitholders			
Applications		49,861,038	46,416,685
Redemptions		(99,822,703)	(56,785,730)
Units issued upon reinvestment of distributions		399,304	397,559
Distributions paid and payable	7	(6,342,687)	(10,935,539)
Total transactions with unitholders		(55,905,048)	(20,907,025)
Total equity at the end of the year	6	101,017,166	152,107,592

The above statement of Changes in Equity should be read in conjunction with the accompanying notes.

ARCULUS PREFERRED INCOME FUND
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2026

	Notes	2026 \$	2025 \$
Cash flows from operating activities			
Interest received		7,037,106	10,575,234
Sundry Income		-	73
Operating expenses paid		(1,047,814)	(1,374,068)
Net cash flows from operating activities	16(a)	5,989,292	9,201,239
Cash flows from investing activities			
Proceeds from sale of investments		194,188,345	356,929,376
Purchase of investments		(129,824,304)	(359,786,543)
Net cash flows used in investing activities		64,364,041	(2,857,167)
Cash flows from financing activities			
Proceeds from applications of redeemable units		49,800,850	47,540,376
Payments on redemption of redeemable units		(113,912,294)	(42,626,802)
Distributions paid		(8,009,135)	(9,729,540)
Net cash flows from financing activities		(72,120,579)	(4,815,966)
Net increase/(decrease) in cash and cash equivalents		(1,767,246)	1,528,106
Cash and cash equivalents at the beginning of the year		6,246,110	4,718,004
Cash and cash equivalents the end of the year	16(b)	4,478,864	6,246,110
Non-cash financing activities	16(c)	399,304	397,559

The above statement of Cash Flows should be read in conjunction with the accompanying notes.

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

1. Reporting Entity

Arculus Preferred Income Fund (the Fund) is a registered managed investment scheme under the *Corporations Act 2001*. The financial report of the Fund is for the year ended 30 June 2026.

The financial report was authorised for issue by the directors of the Responsible Entity on 30 September 2026.

2. Basis of preparation

a) Statement of compliance

The financial report is a general purpose financial report which has been prepared in accordance with Australian Accounting Standards (AASBs) (including Australian interpretations) adopted by the Australian Accounting Standards Board (AASB) and the Corporations Act 2001. Australian Accounting Standards include Australian equivalents to International Financial Reporting.

The Financial report of the Fund complies with the International Reporting Standards (IFRS's) and interpretations adopted by the International Accounting Standards Board (IASB).

For the purposes of preparing the financial statements, the Fund is a for-profit entity.

b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for financial instruments at fair value through profit or loss, which are measured at fair value.

c) Functional & presentation currency

The financial report of the Fund is presented in Australian dollars, which is the Fund's functional currency.

d) Use of estimates and judgement

The Fund makes estimates and assumptions that affect reported amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in future periods affected.

There were no key adjustments during the year arising from estimates and judgements.

e) Changes in accounting policy

The fund has consistently applied the accounting policies set out in Note 3 to all periods presented in these financial statements.

There are no accounting standards, interpretations, or amendments to existing accounting standards that are effective for the first time in the financial year beginning 1 July 2025 that had a material impact on the amounts recognised in prior periods or will affect the current and future periods.

3. Material accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these financial statements.

(a) Financial Instruments

(i) Initial recognition and measurement

Financial assets and financial liabilities are recognised when the Fund becomes a party to the contractual provisions to the instrument. For financial assets, this is the date that the Fund commits itself to either the purchase or sale of the asset (ie trade date accounting is adopted).

3. Material accounting policies (continued)

(ii) Classification and subsequent measurement

Financial assets are subsequently measured at:

- Amortised cost
- Fair value through other comprehensive income; or
- Fair value through profit or loss.

The classification and measurement depends upon the Responsible Entity business model for managing the financial assets and the contractual terms of the cash flows.

Equity securities and derivatives are measured at fair value through profit and loss.

For debt securities, the contractual cash flows are solely payments of principal and interest, however they are neither held for collecting of contractual cash flows nor held for sale. The collection of contractual cash flows is only incidental to achieving the Fund's business model's objective. Consequently, the debt securities are measured at fair value through profit or loss.

By default, all other financial assets that do not meet the measurement conditions of amortised cost or fair value through other comprehensive income are subsequently measured at fair value through profit or loss.

Financial liabilities are subsequently measured at:

- Amortised cost; or
- Fair value through profit or loss.

A financial liability is measured at fair value through profit or loss if the financial liability is:

- A contingent consideration of an acquirer in a business combination to which AASB 3 Business Combinations applies
- Held for trading; or
- Initially designated as at fair value through profit or loss.

All other financial liabilities are subsequently measured at amortised cost using the effective interest method.

(iii) Derecognition

Derecognition refers to the removal of a previously recognised financial asset or financial liability from the Statement of Financial Position.

Derecognition of financial assets

A financial asset is derecognised when the holder's contractual rights to its cash flows expires, or the asset is transferred in such a way that all the risks and rewards of ownership are substantially transferred.

Derecognition of financial liabilities

A liability is derecognised when it is extinguished (ie when the obligation in the contract is discharged, cancelled or expires). An exchange of an existing financial liability for a new one with substantially modified terms, or a substantial modification to the terms of a financial liability is treated as an extinguishment of the existing liability and recognition of a new financial liability.

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

3. Material accounting policies (continued)

(iv) Impairment

The Fund recognises a loss allowance for expected credit losses on financial assets that are measured at amortised cost or fair value through other comprehensive income. Loss allowance is not recognised for financial assets measured at fair value through profit or loss.

Expected credit losses are the probability-weighted estimate of credit losses over the expected life of a financial instrument. A credit loss is the difference between all contractual cash flows that are due, and all cash flows expected to be received, all discounted at the original effective interest rate of the financial instrument.

The Fund uses the simplified approach to impairment, as applicable under AASB 9.

The simplified approach does not require tracking of changes in credit risk at every reporting period, but instead requires the recognition of lifetime expected credit loss at all times.

This approach is applicable to trade receivables or contract assets that result from transactions within the scope of AASB 15: Revenue from Contracts with Customers and that contain a significant financing component.

In measuring the expected credit loss, a provision matrix for trade receivables was used, taking into consideration various data to get to an expected credit loss (ie diversity of its customer base, appropriate groupings of its historical loss experience etc).

At each reporting date, the Fund recognises the movement in the loss allowance as an impairment gain or loss in the statement of profit or loss and other comprehensive income.

The carrying amount of financial assets measured at amortised cost includes the loss allowance relating to that asset.

(v) Specific investments

Cash and cash equivalents

Cash and cash equivalents include cash at bank and are initially recognised under contractual obligations and after initial recognition are stated at their amortised cost less expected credit losses.

Investment securities

The fair value of investment securities is based on their quoted market prices at the Statement of Financial Position balance date without any deduction for estimated future selling costs. Financial assets are priced at last sale prices at balance date and financial liabilities are priced at current asking prices.

Receivables

Receivables may include amounts for interest and trust distribution and are initially recognised when the right to receive payment is established and after initial recognition are stated at their amortised cost less impairment losses.

Payables

Liabilities are recognised for amounts to be paid in the future for goods or services received, whether billed to the Fund or not and after initial recognition are stated at their amortised cost. Trade accounts payable are normally settled within 30 days.

The distribution payable to unitholders as at balance date is recognised as a payable as unitholders are presently entitled to the distributable income under the Fund's Constitution.

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

3. Material accounting policies (continued)

(b) Interest income

Interest income on debt securities is recognised in the Statement of Profit or Loss and Other Comprehensive Income when entitled to receive the interest as at coupon date.

Interest income on bank operating accounts is recognised in the Statement of Profit or Loss and Other Comprehensive Income as it accrues, using the original effective interest rate of the instrument calculated at the acquisition or origination date.

(c) Distribution income

Distribution income relating to unlisted and listed securities is recognised in the Statement of Profit or Loss and Other Comprehensive Income when declared.

(d) Expenses

All expenses, including management fees and custodian fees, are recognised in the Statement of Profit or Loss and Other Comprehensive Income on an accrual basis.

(e) Taxation

Under current legislation, the Fund is not subject to income tax provided they attribute the entirety of its taxable income to its unitholders.

(f) Distributions

Distributions are payable as set out in the Fund's product disclosure statement and/or the Fund's constitution. Such distributions are recognised as payable when they are determined by the Responsible entity.

Distributions paid are included in cash flows from financing activities in the Statement of Cash Flows.

(g) Net assets attributable to unitholders

Units are redeemable at the unitholders option and are classified as equity. The units can be put back to the Fund at any time for cash equal to the proportionate share of the Fund's net asset value. The fair value of redeemable units is measured at the redemption amount that is payable (based on redemption price) at the date if unitholders exercised their right to put the units back to the Fund.

(h) Applications and redemptions

Applications received for units in the Fund are recorded net of any entry fees payable prior to the issue of units in the Fund. Redemptions from the Fund are recorded gross of any exit fees payable after the cancellation of units redeemed.

(i) Unit prices

The unit price is based on unit price accounting outlined in the Fund's Constitution and product disclosure statement.

(j) Change in net assets attributable to unitholders

Non-distributable income, which may comprise unrealised changes in the fair value of investments, net capital losses, tax-deferred income, accrued income not yet assessable and non-deductible expenses are reflected in the profit and loss as change in net assets attributable to unitholders.

These items are included in the determination of distributable income in the period for which they are assessable for taxation purposes.

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

3. Material accounting policies (continued)

(k) Goods and services tax

Management fees, custody fees and other expenses are recognised net of the goods and services tax (GST) recoverable from the Australian Taxation Office (ATO) as a reduced input tax credit (RITC).

Payables are stated with the amount of GST included. The net amount of GST recoverable from the ATO is included in receivables in the Statement of Financial Position.

Cash flows are included in the Statement of Cash Flows on a gross basis.

(l) New Accounting Standards and interpretations

A number of new accounting standards and interpretations are effective for annual periods beginning after 1 July 2026 and have not been early adopted in preparing these financial statements.

The Directors have considered these changes and do not believe their application will have a material effect on the financial statements of the Fund.

4. Interest income

	2026	2025
	\$	\$
Cash and cash equivalents	27,451	180,779
Listed interest bearing securities		
- Convertible notes	1,335,123	1,826,779
- Floating rate notes	167,451	9,880
- Hybrid securities	1,197,875	1,620,122
- Corporate bonds	377,869	255,878
Unlisted interest-bearing securities		
- Floating rate notes	3,163,659	6,222,097
- Corporate bonds	829,819	383,584
	7,099,247	10,499,119

5. Auditor's remuneration

	2026	2025
	\$	\$
Audit and review of the financial report	26,400	25,200
Audit of compliance plan	4,300	4,100
	30,700	29,300

Auditor's remuneration is paid by the Responsible Entity and is recovered from the Funds as an expense recovery in accordance with the Constitution of the Fund. Fees are stated exclusive of GST.

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

6. Net assets attributable to unitholders

As stipulated within the Fund Constitution, each unit represents a right to an individual share in the Fund and does not extend to a right to the underlying assets of the Fund. There are no separate classes of unit, and each unit has the same rights attaching to it as all other units of the Fund.

Movements in number of units and net assets attributable to unitholders during the year were as follows:

	30 June 2026 No.	30 June 2025 No.	30 June 2026 \$	30 June 2025 \$
Opening balance	183,393,149	195,354,669	152,107,592	162,859,316
Applications	59,497,288	54,732,193	49,861,038	46,416,685
Redemptions	(120,159,800)	(67,166,749)	(99,822,703)	(56,785,730)
Units issued upon reinvestment of distributions	484,747	473,036	399,304	397,559
Profit / (loss) for year	-	-	4,814,622	10,155,301
Distributions paid and payable	-	-	(6,342,687)	(10,935,539)
Closing balance	123,215,384	183,393,149	101,017,166	152,107,592

Capital risk management

The Fund manages its net assets attributable to unitholders as capital. The amount of net assets attributable to unitholders can change significantly on a daily basis as the Fund is subject to daily applications at the discretion of unitholders.

Applications and redemptions are reviewed relative to the Fund's underlying assets on a daily basis by the Responsible Entity. Under the terms of the Fund's Constitution, the Responsible Entity has the discretion to reject an application for units and to defer or adjust a redemption of units if the exercise of such discretion is in the best interest of unitholders.

7. Distributions paid to unitholders

	2026 \$	2026 CPU	2025 \$	2025 CPU
Distributions were paid and/or payable as follows:				
30 September interim paid	2,763,000	1.30	2,463,100	1.22
31 December interim paid	1,265,500	0.95	2,698,800	1.35
31 March interim paid	1,231,600	0.95	2,625,300	1.28
30 June final payable	1,082,587	0.88	3,148,339	1.72
	6,342,687		10,935,539	

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

8. Cash and cash equivalents

	2026	2025
	\$	\$
Cash at bank and on hand	4,478,864	6,246,110
Total cash and cash equivalents	4,478,864	6,246,110

9. Financial assets held at fair value through profit and loss

	2026	2025
	\$	\$
<i>Listed securities</i>		
Convertible notes	14,549,759	24,642,767
Corporate bond	6,488,311	-
Floating rate notes	91,252	
Hybrid securities	18,438,802	39,745,631
<i>Total listed securities</i>	<i>39,568,124</i>	<i>64,388,398</i>
 <i>Unlisted securities</i>		
Floating rate notes	53,211,958	85,736,979
Corporate bonds	6,328,824	11,791,616
<i>Total unlisted securities</i>	<i>59,540,782</i>	<i>97,528,595</i>
Total Financial assets held at fair value through profit and loss	99,108,906	161,916,993

10. Receivables

	2026	2025
	\$	\$
Interest receivable	74,656	12,515
Applications receivable	79,819	19,631
Outstanding settlements, financial assets	2,267,282	1,361,350
Other	17,550	31,422
Total receivables	2,439,307	1,424,918

11. Payables

	2026	2025
	\$	\$
Redemptions payable	121,418	14,211,008
Outstanding settlements, financial assets	3,741,089	-
Management fees payable	64,817	121,082
Distribution payable	1,082,587	3,148,339
Total payables	5,009,911	17,480,429

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

12. Financial instruments

The fund's portfolio is a combination of equity investments and fixed income securities, selected on a credit basis, diversified by asset type, industry exposure and style of interest rate distributions. It holds investment assets at the discretion of the Fund's Investment Manager, Arculus Funds Management.

The Fund's investment strategy is to identify appropriate investments that are expected to generate a sufficiently high yield, commensurate with the assumed risk, with minimum volatility of returns. The fund consists of a core portfolio constructed with reference to macroeconomic factors and industry exposure. The balance of the fund is a tactical component that seeks to enhance returns via investing in short term yield opportunities in the same fixed interest asset classes but especially those traded on the ASX.

Financial risk management is the responsibility of DDH Graham Limited as the Responsible entity of the Fund. This responsibility includes regular oversight of the Investment Manager, to ensure full compliance of the investment mandate of the Fund.

The Fund's activities expose it to a variety of financial risks: market (including price and interest rate risks), credit risk and liquidity risk. Set out below is information in respect of the Fund exposure to these types of risks and how they are managed.

(a) Market Risk

The Fund is exposed to the following market risks:

- the risk that due to fluctuations in **interest rates** or other risk factors resulting in **price risk**: will impact movement in the value of the securities held in the portfolio; and
- **Credit risk** in respect of an issuer of securities failing to discharge its obligations.

These risks are managed as follows:

Diversification in investment selection. The following table sets out the Fund's portfolio construction by asset class and weights:

Asset Class	Minimum (%)	Maximum (%)
Australian Government and Semi Government Bonds	0	50
Investment grade Corporate Senior Bonds, subordinated Corporate Bonds and hybrids, each either OTC or ASX listed	20	98
Non - Investment grade ¹ Corporate Senior Bonds, subordinated Corporate Bonds and hybrids, each either OTC or ASX listed	0	30
Australian cash	2	90

¹ Investment grade is defined as the security being rated at least BBB- by S&P (or equivalent by a recognized rating agency). In the case where there is no specific security rating, the Investment Manager will assign a rating for the security relative to the company's senior rating. If there is no senior rating the Investment Manager will assign a senior rating and subsequently a security rating.

Approval is initially granted for the issuing company based on credit analysis. Subsequently the structure of the individual interest rate security from that company is assessed in detail and approved for investment if appropriate.

The pool of available securities is constantly monitored in terms of yield provision as well as continuing to meet required credit standards and to identify any current or emerging issues that may adversely impact the long-term value of the investment.

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

12. Financial instruments (continued)

From this pool of securities, a core portfolio representing 70-80% of the Fund's assets is constructed, selected with reference to:

- Macroeconomic analysis, both economic and interest rate driven.
- Industry selection and
- Level of yield provision.

The core portfolio is stress tested and adjusted to minimize interest rate and credit market exposure.

The remainder of the portfolio allows tactical positions to be taken in securities on the approved list with a view to:

- Capturing changes in credit view
- Identifying short term yield opportunities
- Adjusting the overall portfolio's interest rate sensitivity
- Capturing mispricing from liquidity constraints; and
- Maintaining the portfolio's capital value.

The total portfolio is re-assessed and monitored with reference to weighting guidelines and stress tests as described above.

Additionally, individual weighting constraints limit the exposure to one security at 10% of the Fund's assets and 15% for exposure to one company (if rated investment grade) or 10% to one company if the company is not rated investment grade. Industry constraints limit exposure to one industry at 30% unless the company is APRA regulated, where the industry constraint is 50%.

The Fund does not employ any off-balance derivatives in managing interest rate and price risks.

The Fund is not exposed to any **foreign currency risk** as it only invests in Australian dollar denominated assets.

Apart from the investment activities of the Fund, **credit risk** arises from cash and amounts owing from debtors. Cash is held only to meet expenses of the Fund and operational needs associated with investment trading. Cash is held in a cash management account under the control of a custodian and debtors actively monitored to ensure timely receipt.

The maximum exposure to *price and credit risk* at balance date is the carrying value of such financial assets.

The following table sets out the impacts of a 5% and 10% increase in movement of the securities held at balance date on fair value of the total portfolio and therefore on net assets attributable to unitholders.

	2026 \$	2025 \$
Carrying value of financial assets held at fair value through profit and loss	99,108,906	161,916,993
Movement in fair value of plus 5%. A decrease in 5% would have an equal but opposite effect	4,955,445	8,095,850
Movement in fair value of plus 10%. A decrease in 10% would have an equal but opposite effect	9,910,891	16,191,699

The Fund is not exposed to any *equity risk* as it does not invest in any assets of a pure equity nature such as ordinary shares issued by a corporation. The Fund may invest in hybrid securities such as preference shares or convertible shares which may have a potential for equity risk exposure.

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

12. Financial instruments (continued)

(b) Liquidity Risk

Liquidity risk is the risk that the Fund may not be able to meet its obligations in full as they fall due or can only do so on terms that are materially disadvantageous.

The Fund is exposed to redemption requests from unitholders and incurs expenditure in the normal course of business. Policies and processes in place to manage this liquidity risk exposure, under all market conditions are as follows:

- The very nature of the Fund's investments in that they are readily realisable either as listed and actively traded on the Australian Stock Exchange or unlisted but traded in an active market.
- An appropriate amount of cash will be retained by the Fund for operational purposes and to fully or partially fund together with investment redemptions unitholder redemptions.
- As set out in the Constitution of the Fund, redemption requests are processed on a daily basis and settled usually within 7 business days of receipt of the request allowing for orderly liquidation of selected investment to meet such redemptions (if required).

Under the Constitution of the Fund, DDH Graham Limited as the Responsible Entity has the discretion to suspend redemption of units if it considers such discretion is in the best interests of all unitholders.

It is considered the capital management strategy of the Fund, disclosed in Note 6, adequately supports the Fund's ability to fully meet redemption requests.

The following table sets out the contractual maturities of financial liabilities:

	Contractual cash flows	Less than 1 month	1-3 months	3 months to 1 year
2026	\$	\$	\$	\$
Redemptions payable	121,418	121,418	-	-
Outstanding settlements, financial assets	3,741,089	3,741,089		
Trade creditors	64,817	64,817	-	-
Distribution payable	1,082,587	1,082,587	-	-
Total contractual cash flows	5,009,911	5,009,911	-	-

	Contractual cash flows	Less than 1 month	1-3 months	3 months to 1 year
2025	\$	\$	\$	\$
Redemptions payable	14,211,008	14,211,008	-	-
Trade creditors	121,082	121,082	-	-
Distribution payable	3,148,339	3,148,339	-	-
Total contractual cash flows	17,480,429	17,480,429	-	-

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

13. Fair value measurement

The carrying amounts of the Fund's assets and liabilities are measured and recognised at fair value on a recurring basis. The Fund has no assets or liabilities measured at fair value on a non-recurring basis in the current reporting period.

For the years ended 30 June 2026 and 30 June 2025, disclosure of fair value measurements is based on the following fair value hierarchy:

- Level 1 - quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2 - inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (prices) or indirectly (derived from prices); and
- Level 3 - inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Fair value in an active market (level 1)

The fair value of Level 1 financial assets and liabilities traded in active markets is based on their quoted market prices at the end of the reporting period without any deduction for estimated future selling costs. The major methods and assumptions used in estimating the fair values of assets and liabilities are disclosed in note 3(a) to the financial statements.

The quoted market price used for financial assets held by the Fund is the last sale price, while financial liabilities are priced at current asking price.

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency and those prices represent actual and regularly occurring market transactions on an arm's length basis.

Fair value in an inactive or unquoted market (level 2 and level 3)

The fair value of financial assets and liabilities that are not traded in an active market is determined by observable market data provided by either published clearing prices, broker and dealer quotes as appropriate to the investment. Investments in unlisted unit trusts are recorded at the redemption price per unit as reported by the manager of the Fund.

The Fund has invested in an unlisted corporate bond which is considered a level three investment. As there is no active market for this, the fair value is determined using the underlying contracts with the counterparties. There are therefore very little assumptions or estimates made in relation to this, and very little sensitivity to changes in unobservable inputs.

There has been no changes in the valuation technique used in the reporting period.

Transfers between levels

There were no transfers between levels for the year ended 30 June 2026 (2025: Nil).

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

13. Fair value measurement (continued)

The following table presents the Fund's assets measured and recognised at fair value according to the above fair value hierarchy.

	Level 1	Level 2	Level 3	Total
	\$	\$	\$	\$
2026				
Financial assets held at fair value through profit or loss				
Listed and unlisted securities	39,568,123	55,615,785	3,924,998	99,108,906
Total	39,568,123	55,615,785	3,924,998	99,108,906

	Level 1	Level 2	Level 3	Total
	\$	\$	\$	\$
2025				
Financial assets held at fair value through profit or loss				
Listed and unlisted securities	64,388,398	94,493,855	3,034,740	161,916,993
Total	64,388,398	94,493,855	3,034,740	161,916,993

14. Related parties

Responsible Entity

The Responsible Entity of the Fund is DDH Graham Limited (ABN 28 010 639 219).

Key management personnel

The Fund does not employ personnel in its own right. However, the Fund requires an incorporated Responsible Entity to manage the activities of the Fund, and this is considered the key management personnel. The directors of the Responsible Entity are key management personnel of that entity.

The names of persons who were directors of DDH Graham Limited at any time during the financial year were as follows:

- UC Di Girolamo
- DDH Graham
- DAH Graham
- PB Lockhart

Investment Manager

Pursuant to an Investment Management Agreement, DDH Graham Limited has appointed Arculus Funds Management (Arculus) to manage the investment portfolio on behalf of DDH Graham Limited. Under the terms of the Agreement Arculus is entitled to receive a management fee for its services.

Related party transactions

All related party transactions are conducted on normal commercial terms and conditions. From time-to-time DDH Graham Limited or its director related entities may invest in or withdraw from the Fund. These investments or withdrawals are on the same terms and conditions as those entered into by other Fund investors.

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

14. Related parties (continued)

Remuneration of directors of the Responsible Entity

Remuneration of the directors and specified executives is paid directly by the Responsible Entity. The directors and specified executives are not provided with any remuneration by the Fund itself. Directors and specified executives are not entitled to any equity interests in the Fund, or any rights to or options for equity interests in the Fund, as a result of the remuneration provided by the Responsible Entity.

Loans to directors and specified executives of the Responsible Entity

The Fund has not made, guaranteed or secured, directly or indirectly, any loans to the directors or their personally related entities at any time during the reporting period.

Responsible Entity fees and other transactions

Under the terms of the Fund's Constitution, the Responsible Entity is entitled to receive management fees monthly, calculated by reference to the net assets of the Fund as follows:

	2026	2025
	\$	\$
Management fees for the year	881,969	1,214,856
Management fees payable at reporting date	64,817	121,082

The fees above are inclusive of fees payable to the Investment Manager.

Investments

The Fund did not hold any investments in other trusts managed by DDH Graham Limited, in DDH Graham Limited or its affiliates during year.

Unitholdings

DDH Graham Limited, its directors and associates did not hold held units in the Fund during the year.

15. Segment information

The Fund operates solely in one business segment being financial investment management. The Fund operates in one geographical location being Australia and holds investments based in Australia.

ARCULUS PREFERRED INCOME FUND
NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2026

16. Reconciliation of profit from operating activities to net cash from operating activities

	2026	2025
	\$	\$
(a) Reconciliation of profit/(loss) from operating activities to net cash inflow from operating activities		
Operating income/(loss)	4,814,622	10,155,301
(Increase)/decrease in receivables	(48,269)	76,835
Net realised losses/(gains) in investment securities	(954,698)	(259,075)
Net unrealised losses/(gains) in investment securities	2,163,408	(896,644)
Brokerage on transactions	70,493	121,966
Increase/(decrease) in accounts payable	(56,264)	2,856
Net cash from operating activities	5,989,292	9,201,239

(b) Components of cash

Cash as at the end of the financial year as shown in the statement of cash flows is reconciled to the statement of financial position as follows:

Cash assets	4,478,864	6,246,110
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(c) Non-cash financing and investing activities

Units created in the Fund under the distribution reinvestment plan.

399,304	397,559
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17. Events occurring after reporting date

No significant events have occurred since the end of the reporting period which would impact on the financial position of the Fund as disclosed in the statement of financial position as at 30 June 2026 or on the results and cash flows of the Fund for year ended on that date.

18. Contingent liabilities and assets and commitments

As at 30 June 2026, the Fund does not have any contingent liabilities or commitments.

**ARCULUS PREFERRED INCOME FUND
DIRECTORS' DECLARATION
FOR THE YEAR ENDED 30 JUNE 2026**

In the opinion of the directors of DDH Graham Limited, the Responsible Entity of the DDH Preferred Income Fund:

1. The financial statements and notes of the Fund, set out on pages 5 to 22, are in accordance with the Corporations Act 2001, including:
 - (a) giving a true and fair view of the Fund's financial position as at 30 June 2026 and of its performance for the financial year ended on that date; and
 - (b) complying with Australian Accounting Standards (including the Australian Accounting Interpretations) and the Corporations Regulations 2001.
2. The financial report also complies with International Financial Reporting Standards as disclosed in Note 2(a).
3. There are reasonable grounds to believe that the Fund will be able to pay its debts as and when they become due and payable.
4. The financial statements and notes of the Fund, set out on pages 5 to 22, are in accordance with the provisions of the Constitution (amended) of the Fund dated 9 March 2004.

This declaration is made in accordance with a resolution of the directors.



**U C Di Girolamo
Director
DDH Graham Limited
Responsible Entity
Brisbane**

30 September 2026

Independent Auditor's Report

Arculus Preferred Income Fund

Opinion

We have audited the financial report of Arculus Preferred Income Fund (the Fund), which comprises the statement of financial position as at 30 June 2026, the statement of comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information, and the directors' declaration.

In our opinion, the accompanying financial report of Arculus Preferred Income Fund is in accordance with the *Corporations Act 2001*, including:

- (a) Giving a true and fair view of the Fund's financial position as at 30 June 2026 and of its financial performance for the year then ended.
- (b) Complying with Australian Accounting Standards and the *Corporations Regulations 2001*.

Basis for Opinion

We conducted our audit in accordance with Australian Auditing Standards. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Report* section of our report. We are independent of the Fund in accordance with the auditor independence requirements of the *Corporations Act 2001* and the ethical requirements of the Accounting Professional & Ethical Standards Board's APES 110 *Code of Ethics for Professional Accountants (including Independence Standards)* (the Code) that are relevant to our audit of the financial report in Australia. We have also fulfilled our other ethical responsibilities in accordance with the Code.

We confirm that the independence declaration required by the *Corporations Act 2001*, which has been given to the directors of the responsible entity of the Arculus Preferred Income Fund (the Fund), would be in the same terms if given to the directors as at the time of this auditor's report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

The directors of DDH Graham Limited are responsible for the other information. The other information comprises the information contained in the Fund's Director's Report for the year ended 30 June 2026 but does not include the financial report and our auditor's report thereon.

Our opinion on the financial report does not cover the other information and accordingly we do not express any form of assurance conclusion thereon.

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The title 'Partner' conveys that the person is a senior member within their respective division and is among the group of persons who hold an equity interest (shareholder) in its parent entity, Findex Group Limited. The only professional service offering which is conducted by a partnership is external audit, conducted via the Crowe Australasia external audit division and Unison SMSF Audit. All other professional services offered by Findex Group Limited are conducted by a privately owned organisation and/or its subsidiaries.

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In connection with our audit of the financial report, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial report or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

Responsibilities of the Directors for the Financial Report

The directors of DDH Graham Limited are responsible for the preparation of the financial report that gives a true and fair view in accordance with Australian Accounting Standards and the *Corporations Act 2001* and for such internal control as the directors determine is necessary to enable the preparation of the financial report that gives a true and fair view and is free from material misstatement, whether due to fraud or error.

In preparing the financial report, the directors are responsible for assessing the ability of the Fund to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Fund or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Financial Report

Our objectives are to obtain reasonable assurance about whether the financial report as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the Australian Auditing Standards will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of this financial report.

As part of an audit in accordance with the Australian Auditing Standards, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Fund's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Fund's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial report or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Fund to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial report, including the disclosures, and whether the financial report represents the underlying transactions and events in a manner that achieves fair presentation.



We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during the audit.

A handwritten signature in black ink that reads "Crowe Audit Australia".

Crowe Audit Australia

A handwritten signature in black ink that reads "W Wessels".

Wicus Wessels

Partner

30 September 2026

Brisbane